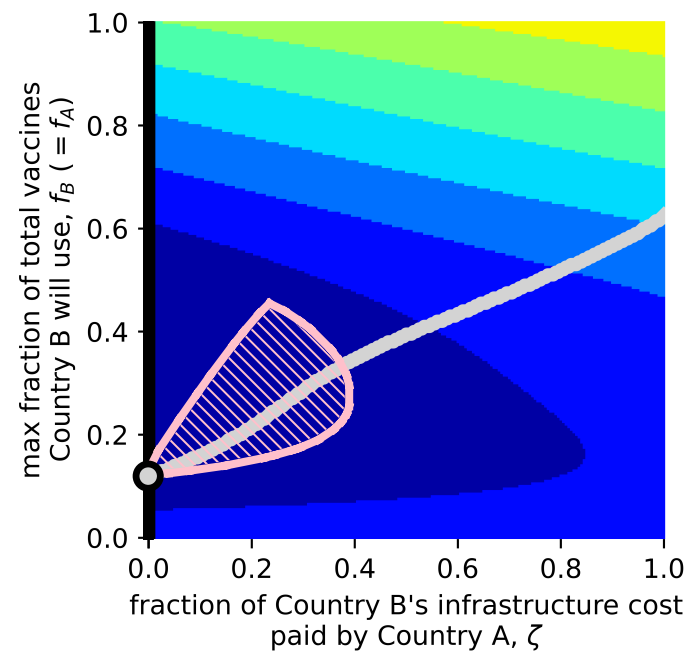


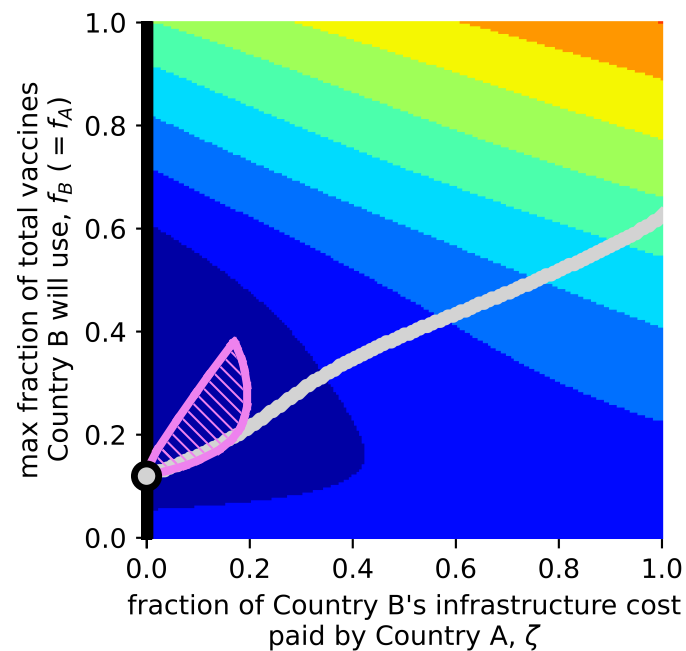
A

infrastructure development costs for Country A are 25% as costly as for Country B ($x=.25$)



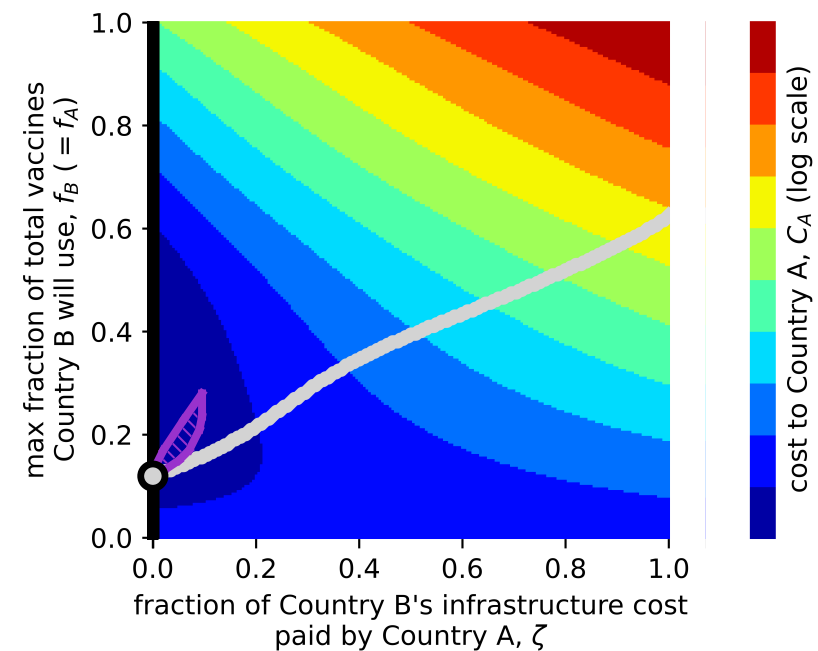
B

infrastructure development costs for Country A are 50% as costly as for Country B ($x=.5$)

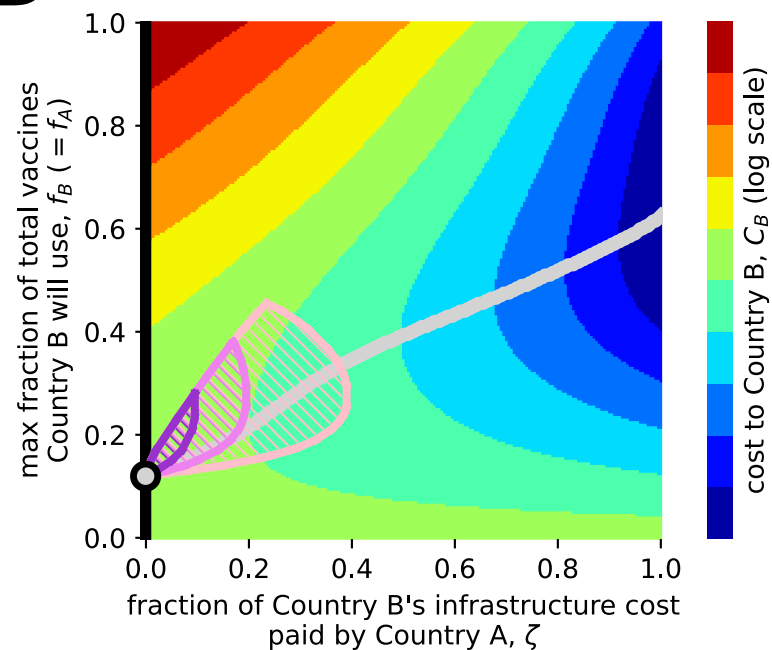


C

infrastructure development costs for Country A are 100% as costly as for Country B ($x=1$)



D



- Country A's cost-minimizing choices of ζ
- Country B's cost-minimizing choices of f_B
- overlap (Nash equilibria)
- regions of lower cost than Nash equilibrium for both countries, with infrastructure development costs for Country A...
- 25% as costly as for Country B ($x=.25$)
- 50% as costly as for Country B ($x=.5$)
- 100% as costly as for Country B ($x=1$)